

Judgment Sheet

IN THE LAHORE HIGH COURT
JUDICIAL DEPARTMENT

I.C.A.No.146 of 2015

M/s Rana Textiles Limited
Vs.
Sui Northern Gas Pipelines Limited etc.

J U D G M E N T

Date of hearing	03.06.2015
Appellant By:	Mr. Muhammad Shahzad Shaukat, Advocate for appellant in ICA No.146/2015 Hafiz Ahsan Ahmad Khokhar, Advocate for Appellant in ICA Nos.196 to 199 of 2015.
Respondents By:	Mr. Umar Sharif, Advocate for respondent SNGPL and LESCO.

Faisal Zaman Khan, J:- Through this consolidated judgment, we intend to decide **I.C.A.Nos.146 and 196 to 199 of 2015** by virtue of which consolidated judgment passed by the learned Single Judge in Chambers in W.P.No.19826/2013 has been assailed through which the said writ petition and connected petitions were allowed.

2. The controversy, which was laid before the learned Single Judge for adjudication was that under the Establishment of Office of the Wafaqi Mohtasib (Ombudsman) Order, 1983 (Order I of 1983) **(Order)** consumers of gas/electricity approached the Ombudsman with complaints *qua* over billing/detection bills. During the

proceedings the Advisors to the Ombudsman who were dealing with the complaints passed prohibitory orders restraining the Companies from recovering the disputed amount as well as disconnecting the meters/connections. Feeling aggrieved SNGPL and LESCO (respondents) agitated their grievance before this Court through different writ petitions which were accepted through the impugned judgments. The learned Single Judge held that the Ombudsman entertained and adjudicated upon the complaints filed by the consumers, which relate to billing disputes for the resolution of which special forums are available under OGRA and NEPRA laws and, therefore, was beyond the pale of jurisdiction exercised by him. It was also held that apart from entertaining these complaints, Advisors are also issuing prohibitory orders restraining the departments from recovering the disputed amount/s and not to disconnect the meters which were also without jurisdiction. After dilating upon the pros and cons of the afore-noted proposition, learned Single Judge held as follows:-

- “1) *The Ombudsman does not have the authority and power under Section 9 of the Order in matters covered by the special laws and the powers of the Ombudsman are excluded to that extent.*
- 2) *The proceedings pending before the Ombudsman with regard to SNGPL and LESCO and impugned herein are without lawful authority and of no legal effect.*
- 3) *Proceedings for an alleged maladministration can only be undertaken in the limited circumstances alluded to in this judgment.”*

3. **I.C.A. No.146/2015** has been filed by M/s Rana Textile Limited, who is a customer of SNGPL; in furtherance of a billing dispute, he approached the office of the Ombudsman, wherein, the Advisor dealing with the complaint issued successively prohibitory orders, which were assailed through a writ petition. The remaining appeals (**I.C.A. Nos.196 to 199 of 2015**) have been filed by the office of Ombudsman.

4. Learned counsel appearing for Rana Textile Ltd. submits that the learned Single Judge in Chambers through the impugned judgment has ousted the jurisdiction of the Ombudsman in view of dispute resolution mechanism provided under the Oil & Gas Regulatory Authority Ordinance, 2002 (**OGRA Ordinance**) He asserts that in the cases of maladministration, it will only be the Ombudsman who can take cognizance. He further submits that the learned Single Judge without any cogent reason held that the Advisors to the Ombudsman have no power to grant interim relief. To fortify his arguments he relies on Capital Development Authority through Chairman and another v. Zahid Iqbal and another (**PLD 2004 SC 99**), The Prince Glass Works Ltd. v. National Beverages Ltd. and another (**PLD 1987 Karachi 49**), Shafaatullah Qureshi v. Federation of Pakistan (**PLD 2001 SC 142**), Capital Steel Re-rolling Mills v. Managing Director SNGPL Lahore and another (**PLD 2012 Lahore 174**), Almas Khanum v. Federation of Pakistan

and others (1994 MLD 6) and Rahat Hussain v. Collector of Customs (Rev.) Customs House Karachi and 2 others (2003 CLC 1860).

5. Learned counsel appearing on behalf of Office of the Ombudsman submits that under Article 2(2) read with Article 11 of the Order, Ombudsman has the power to adjudicate upon a complaint in cases of maladministration. He further submits that through the impugned judgment, cases of maladministration committed by the SNGPL and LESCO have been taken out of the ambit of the jurisdiction of the Ombudsman, thus, curtailing the powers invested with the Ombudsman under the Order, therefore, the same is not sustainable.

6. In addition to the above, two of the Advisors to the Ombudsman also appeared and submitted that they are doing a noble job by entertaining the cases of poor people and providing them quick and efficacious relief therefore any order curtailing the powers of the Ombudsman will cause loss to the general public.

7. Conversely, learned counsel appearing on behalf of SNGPL and LESCO submits that the learned Single Judge has rightly held that in cases of maladministration, only the Ombudsman has the powers to exercise jurisdiction. He however asserts that in all other cases but for maladministration, the mechanism provided under the special laws shall be given precedence. Under the special

dispensations, mechanism for resolution of disputes qua over billing, detection bills and disconnection of meters etc has been provided giving them exclusive jurisdiction. He emphasize that in the cases in issue, the dispute brought before the Ombudsman was regarding excessive billing/detection bills and disconnection of meters etc and not the maladministration on part of the agency or its officials, therefore, the complaints were not competent. He while referring to certain orders passed by the office of the Ombudsman in identical cases highlights that instead of adverting to the question of maladministration and taking steps thereon have recommended that bills should be corrected; excess amount received should be adjusted and consumer be charged in accordance with the agreement, which according to him is beyond their powers and jurisdiction. He finally submits that Advisors to the Ombudsman had no authority under the law to issue interim injunctions.

8. We have heard the learned counsel for the parties and have gone through the available record.

9. After hearing the learned counsel for the parties and the Advisors to the Ombudsman, we have come to the conclusion that the appellants are in fact misinterpreting the impugned judgment. They have assumed that through the judgment the office of the Ombudsman has been restrained from entertaining complaints against SNGPL and LESCO.

10. During the course of arguments, learned counsel appearing on behalf of the Ombudsman has admitted the following:

- i. That the office of Ombudsman can only assume jurisdiction in cases of “**maladministration**” as contemplated in Article 2 of the Order; and
- ii. Prohibitory orders issued by the Advisor to the Ombudsman are not with the consent or previous approval of the Ombudsman therefore, they are not sustainable.

11. After going through the impugned judgment, we are of the view that the learned Single Judge has drawn a distinction between the jurisdiction exercised by the Ombudsman under the Order and the one exercised by the dispute resolution mechanism provided under the Oil and Gas Regulatory Authority Ordinance, 2002 (OGRA Ordinance) and Regulation of Generation, Transmission and Distribution of Electric Power Act, 1997 (NEPRA Act). He has nowhere held that the jurisdiction conferred upon the Ombudsman qua cases of **maladministration** is ousted. The concluding paragraph of the judgment, as reproduced above, is a clear index to the fact that jurisdiction of Ombudsman in cases of SNGPL and OGRA is not ousted. The learned Judge while observing about the cases brought before him has held that in those cases as billing disputes were raised before the Ombudsman, for which alternate

efficacious remedy is available under the respective laws, therefore, office of the Ombudsman had no jurisdiction either to entertain the same or to issue prohibitory order/s. He has however directed that a line has to be drawn between the cases of maladministration and the disputes falling in the ambit of dispute resolution mechanism provided under the laws mentioned supra should be strictly adhered to.

12. We also subscribe to the view taken by the learned Single Judge that the issues raised before the Ombudsman as highlighted in the above litigation were alien to his jurisdiction, therefore, he had no mandate to pass any order on them.

13. The preamble to the Order would show that office of the Ombudsman has been established to diagnose, investigate, redress and rectify any injustice done to a person through **maladministration**. The powers and jurisdiction as exercised by him is defined in Article 9; he either of his own motion, on a complaint filed by an aggrieved person or upon a reference sent by the authorities mentioned in the Article can undertake and investigate any act of “**maladministration**” as defined in Article 2(2) committed on part of any Agency as defined in Article 2(1) or any of its officer or employee. The procedure which is to be followed during investigation is prescribed in Article 10. Under Article 18, Ombudsman has the power to establish standing or

advisory committees conferring jurisdiction for performing such functions as specified. A report is to be made by such committee with their recommendations which will first be placed before the Ombudsman for appropriate action. Similarly the Ombudsman under Article 19 of the Order can delegate its powers to any member of his staff subject to conditions as specified however they will also place every report along with their recommendations first before the Ombudsman for appropriate action. Under Article 20 he has the powers to appoint Advisors to assist him to discharge of his duties under the Order.

14. Once an investigation is undertaken by the Ombudsman, a standing or advisory committees specified for the said purpose or by an Advisor the same has to be placed before the Ombudsman as contemplated in Articles 18 & 19 of the Order upon which, under Article 11 if the (OMBUDSMAN) comes to the conclusion that an agency or its employee is guilty of maladministration, **HE** shall communicate the findings to the Agency concerned to do the following:-

- “(a) *to consider the matter further;*
- (b) *to modify or cancel the decision, process, recommendation, act or omission;*
- (c) *to explain more carefully the act or decision in question;*
- (d) *to take disciplinary action against any public servant of any Agency under the relevant laws applicable to him;*

- (e) *to dispose of the matter or case within a specified time;*
- (f) *to take action on his findings and recommendations to improve the working and efficiency of the Agency within a specified time; or*
- (g) *to take any other step specified by the Mohtasib.”*

(Borrowed from Article 11 of the Order)

15. From the afore-noted procedure, the impugned judgment and the arguments of the learned counsel for the parties, the consensus is that in case of a complaint filed before the Ombudsman the element of maladministration committed by the agency or its employee has to be highlighted. It is not the domain of the Ombudsman to look into or decide about the fate of the act which followed the act of maladministration. If he arrives on a conclusion that there is a consequence to an act of maladministration he under Article 11 will make his **RECOMMENDATIONS** which may include the undoing of the act done in consequence of act of maladministration.

16. For dealing with the subject of Natural Gas an Authority has been established under the OGRA Ordinance which has exclusive jurisdiction for determination of its tariff, distribution and licensing. Under section 11 a complaint can be preferred against a licensee who contravenes the provisions of the Act. While invoking Section 42, Complaint Resolution Procedure [for Natural Gas, Liquefied Petroleum Gas (LPG), Compressed Natural Gas (CNG) and redefined oil products] Regulations 2003 have been promulgated.

Under Regulation 3 of the Regulations, Nature of Complaints dealt with by the Authority are defined. For convenience Regulation is reproduced:-

“3. Nature of Complaints:- Any person may submit an application with the Registrar for –

- (a) any act or thing done or omitted to be done by a licensee or dealer in violation of alleged violation of the Ordinance, rules, regulations, order of the Authority or terms and condition of the license;
- (b) non-compliance by the licensee or dealer with the service standards in the areas including but not limited to;
 - (i) billing;
 - (ii) connection and disconnection of service;
 - (iii) metering;
 - (iv) undue delay in providing service;
 - (v) safety practices; or
 - (vi) quantity and quality of natural gas, LPG or CNG being supplied; or
- (c) discriminatory practices of the licensee or dealer.”

Against the order of the Authority, under Regulation 9 an appeal is also provided to the complainant or the licensee provided he is not satisfied by the decision of the Authority.

17. Similarly for regulation of generation, transmission and distribution of electric power and matter connected therewith, an Authority has been established under the NEPRA Act; this Authority deal with the issues of licensing and tariff determination.

Under section 38 office of inspection has been established for determination of disputes over metering, billing and collection of tariff. For determination of these disputes, powers can also be conferred on Electric Inspector appointed under Electricity Act 1910. Under section 39 a complaint can also be filed before the Authority against a licensee for contravention of any provision of the Act, order, rule, regulation license or instructions made or issued thereunder.

18. While placing the cases brought before the learned Single Judge in juxta position with the above observations, it is clear that the prayer made before the Ombudsman was regarding the bills/detection bills issued by SNGPL/LESCO. An additional prayer was also made that Companies may be restrained from recovering the amount or disconnecting the meters. There is no cavil to the powers exercised by the office of the Ombudsman in cases of maladministration which can also be exercised in cases of SNGPL and LESCO, however, complaints are being entertained by the Ombudsman in contravention of Article 2(2) of the Order and thereupon, Advisors to Ombudsman without the prior approval of the Ombudsman, as enshrined in Articles 18 & 19 of the Order, start issuing prohibitory orders by staying the recovery of the so called disputed amount or restraining the departments from disconnecting the meters/connections. The Committees or the Advisors can

entertain complaints against the maladministration of the Departments if they are authorized by the Ombudsman however they have no authority under the Order to pass a prohibitory order restraining any Agency from doing a particular act inclusive of disconnection and recovery of amount. As narrated above they under Article 18 & 19 can only submit a report and make recommendations to the Ombudsman, who is the final arbiter. Once the Ombudsman comes to the conclusion that an act of maladministration has taken place and as a consequence of which over billing or disconnection has occurred he may under Article 11 make recommendations for proceeding against the Agency or its employee and can also make recommendations about the act done in consequence of maladministration. In case, the recommendations are not adhered to, Ombudsman can proceed under Articles 12 & 16 of the Order.

19. After perusing the record of all the afore-noted appeals, we have come to the irresistible conclusion that the complaints filed before the office of Ombudsman were billing disputes between the consumers and respective service providers. No particular incident has been highlighted, through which this could be gauged that a particular agency or its employee had committed an act of maladministration which require adjudication.

20. In view of the admission made by the learned counsel for the Ombudsman that the prohibitory orders passed in all the afore-noted cases were not in accordance with law, therefore, the same cannot sustain. The only consumer who has approached this Court through an appeal is M/s Rana Textile Ltd; the dispute highlighted was about billing and successive prohibitory orders were also passed in its favour, therefore, in view of the above discussion the learned Single Judge rightly decided against the company. As a sequel to the above, ICA No.146/2015 filed by M/s Rana Textile Ltd is dismissed.

21. As regards the other appeals, as the learned counsel for the office of the Ombudsman has admitted that the office of the Ombudsman can only deal with the cases pertaining to maladministration as contemplated in the Order and cannot transgress or interfere with the matters falling within the ambit of dispute resolution mechanism provided under the OGRA Ordinance and NEPRA Act, it is therefore clarified that the cases to the extent of maladministration can be looked into and decided by the office of the Ombudsman, however, the issues which fall within the ambit of dispute resolution mechanism provided under the OGRA Ordinance and NEPRA Act, the same are to be adjudicated upon and decided by the available foras.

22. The upshot of the above discussion is that the judgment passed by the learned Single Judge in Chambers is unexceptionable

therefore the same do not require any interference. In view of the fact that the impugned judgment has been clarified the dispute highlighted in the other Intra Court Appeals stand resolved, therefore, these appeals are **disposed of** in the above terms.

(AYESHA A. MALIK)
JUDGE

(FAISAL ZAMAN KHAN)
JUDGE

Shafaqat Ali*

Approved for Reporting